

① Purchase Journal → This Journal is recording all credit purchase of goods. Cash purchases had to be recorded in the cash Journal.

However, only credit purchases of goods are better recorded in this Journal.

→ ② Sales Journal → This Journal is recording all credit sale of goods. Cash sale of the goods are to be recorded in the cash Journal.

→ ③ Purchase Return Journal → It is meant for recording all returns of goods purchased on credit. It is known as Returns outward Journal.

→ ④ Sales Return Journal → It is meant for recording all returns of goods sold on credit. It is also known as Returns inward Journal.

③ Bills Journal →

This Journal is meant for recording all bills of exchange or promissory notes received or issued by the business. ~~from its~~ debtors. It can be classified into 2 categories.

→ a) Bills Receivable Journal → It is meant for recording all bills of exchange or promissory notes received by the business from its debtors.

→ b) Bills Payable Journal → It is meant for recording all bills of exchange or promissory notes issued by the business in favor of its creditors.

General Journal

It is also known as Journal Proper. It is meant for recording all such transactions for which no special has been kept by the business.

(i) Opening Entry: → When a new set of books is started, the old accounts have to be brought forward in the beginning of the year from last year's books. The opening entry is made for recording these transactions. The entry is made from the balance sheet of the last year.

(ii) Closing Entry: → At the end of the accounting year, the nominal accounts are closed by transferring them to trading account or profit and loss account. The entry passed for this purpose are termed as closing entry.

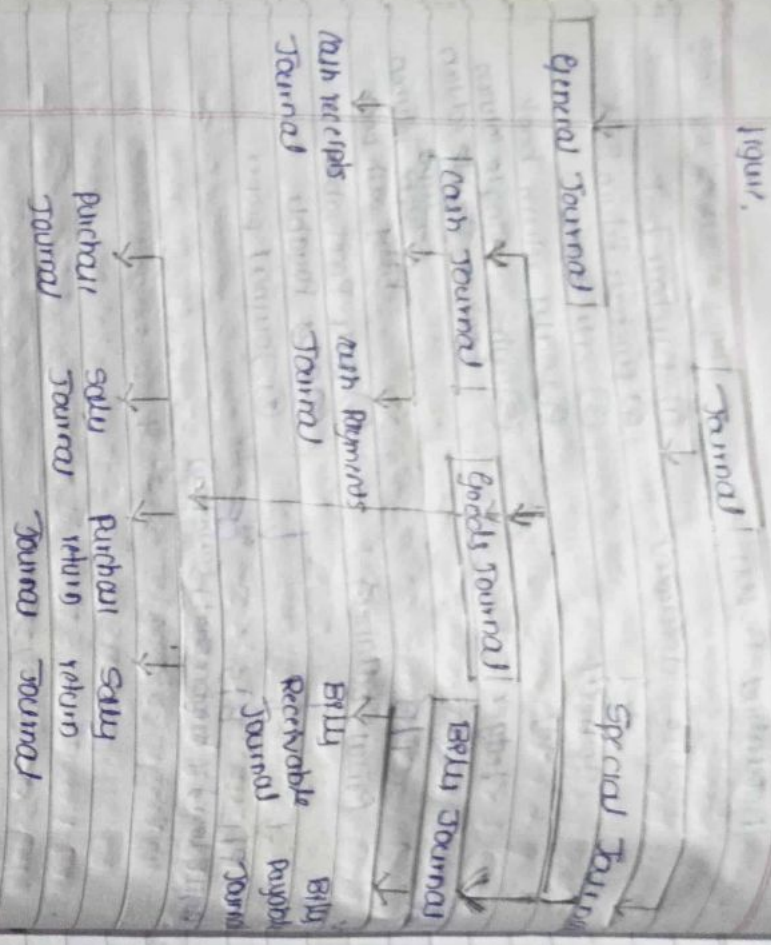
(iii) Adjustment Entry: → At the end of the accounting year, adjustment entry are to be passed for outstanding/prepaid expense/accrued liabilities, etc.

(iv) Transfer Entry: → Transfer entry are required for transferring one account to the other entry for such transfer are passed in the general journal.

(v) Rectification Entry: Rectification entry are passed for rectifying the errors which might have been committed in the books of accounts.

(vi) Purchase of Fixed Assets: The entry for purchases of fixed assets such as plants, machinery, furniture etc... on credit are passed in this journal.

Figure



Types of Subsidiary Book
 1. Purchase Book → To record the goods purchased on credit. (Debit side of Purchase account)
 2. Purchase return Book → To record the goods returned to suppliers. (Credit side of Purchase account)
 3. Sales Book → To record the goods sold on credit. (Credit side of Sales account)
 4. Sales return Book → To record the goods returned by customers. (Debit side of Sales account)

- ① Purchase Book → To record the goods purchased on credit.
- ② Purchase return Book → To record the goods returned to suppliers.
- ③ Sales Book → To record the goods sold on credit.
- ④ Sales return Book → To record the goods returned by customers.

⑤ cash book → To record cash transactions

⑥ bill receivable book → To record the bills received from the customer

⑦ bill payable book → To record the bills accepted

⑧ Journal proper → To record other transactions which can not be recorded in above subsidiary book [if assets are involved]

① special journal → advantage of subsidiary

② purchase book, journal, journal recording

Special Journal

The term special journal means a journal which for a special purpose. The following are the various types of special journals.

① Cash Journal → Cash Journal is recording all of cash transactions. It may be further classified into

- ① Cash receipt Journal
- ② Cash payment Journal

→ ① Cash receipt Journal → record all cash receipts

→ ② Cash payment Journal → record all cash payments

③ Goods Journal → The Journal is recording all transactions relating to goods. It may be further classified into following categories: purchasing, sales, returns, etc.

From the following ledger balance of Arpita prepare a trial balance as on 31/3/2025

- (1) Stock (14/10084) → 15,000
- (2) Purchase → expense 30,000
- (3) Sales → income 40,000
- (4) Capital → capital 45,000
- (5) Drawings → 10,000
- (6) Debtors → D/B 18,000
- (7) Creditors → credit 10,000
- (8) Investment → asset 15,000
- (9) Legal charges → expense 2,000
- (10) Cash in hand → B/B 5,000

S.N	Name of Account	LF	Debit	Credit
1	Stock	asset	15,000	
2	Purchase	expense	30,000	
3	Sales	income		40,000
4	Capital	capital		45,000
5	Drawings	capital but debit	10,000	
6	Debtors	asset	18,000	
7	Creditors	liability		10,000
8	Investment	asset	15,000	
9	Legal charges	expense	2,000	
10	Cash in hand	asset	5,000	
	total		95,000	95,000

3rd Chap

Subsidiary Books

Accounting Books

Source documents

↓
Journal

↓
Ledger

↓
T/B

(Trial balance)

P/L B/S CF
(Profit & Loss) (Balance Sheet) (Cash Flow)

Subsidiary Type of Journal book

separate books for

Subsidiary Books

Subsidiary books may be defined as a book of prime entry in which transaction of a particular category are recorded.

In other words,

If order to save the time and energy, the transaction which are of similar character

are recorded in separate books, these are called

'Subsidiary Books' or 'Subdivisions of Journal'

A no of subsidiary books are open to

word as business transaction

The subdivision of Journal can be explained with the help of the following figure.

Type of subsidiary books

(1) Purchase book

(2) Purchase Return Book

(3) Sales Book

(4) Sales return book

(5) Cash book

(6) Bills Receivable

(7) Bills Payable

(8) Journal proper

single

double → cash, drawings, amt

Triple → date, P/L, cash/bank, disc

quitting → vat

single column
double column
triple column
quitting cash book

Problem

PURCHASE BOOK

① Prepare the purchase book in the books of N. needs provisions store for the month of August

8001

4/8/2012

Purchase from Mandya Rice mill (Invoice no 1151) 10 bags of Super rice at RS 24,000 per bag, trade discount on all items

discount on all items

@ RS 10%

10/8/2012

Bought from Kiran Flour mill (Invoice no - 1185) 20 bags of wheat flour on amount of RS 31,000 per bag.

18/8/2012

Purchased from Kanara traders 10 tins of oil at RS 1400 per tin (Invoice no - 555)

8/8/2012

Bought oil from Kanara traders from beauty purchase mart on credit. (Invoice no - 1234)

26/8/2012

Purchased from M Mahadu Area traders 50 kg areca nuts for RS 4,500 (Invoice no - 350)

19/8/2012

Cash purchase from Anurag Trading limited RS 5,000

Cash purchase of oil from beauty purchase mart

Books of M S Needs Purchase Book

Particulars

4/8/2012

Mandya Rice Mill. 10 Bags of Rice x RS 24,000 = 24,000

2400

10 bags of rice x RS 24,000 = 24,000

24,000

10% 24,000 x 10 = 2,400

100 = 24,000

24,000 - 2,400 = 21,600

21,600

10/8/2012

Kiran Flour mill 20 bags of wheat flour x RS 1550 = 31,000

18/8/2012

Kanara traders 10 tins of oil x RS 1400 = 14,000

26/8/2012

Mahadu Area traders 50 kg of areca nuts x RS 4500 = 4,500

total.

71,100

Credit Ledger

suppliers - credit ledger

Particulars

4/8/2012

Mandya Rice Mill. 10 Bags of Rice x RS 24,000 = 24,000

10/8/2012

Kiran Flour mill. 20 bags of wheat flour x RS 1550 = 31,000

18/8/2012

Kanara traders. 10 tins of oil x RS 1400 = 14,000

26/8/2012

Mahadu Area traders. 50 kg of areca nuts x RS 4500 = 4,500

Invoice no

LI

Amount

21,600

14,000

4,500

21,600

31,000

14,000

4,500

14,000

14,000

14,000

Receiving and Posting

Inward Invoice is the document used for recording in the Purchase Book. An Inward Invoice is the original copy of Invoice received by the buyer from the supplier. The printed number of the invoice is written in the Inward Invoice Number column.

The name of the supplier is recorded in the particulars column. The net amount of purchase after deducting the trade discount if any is recorded in the amount column.

The posting from the Purchase Book is made as follows:-

1. Each purchase is posted to credit side of the respective supplier's account with the date of purchase.
2. The total of the Purchase Book is periodically posted to the debit side of the Purchase Accounts, normally on monthly basis.

Specimen of Invoice, containing the details of goods sold. The next format of an invoice varies, depending on the type of the concern, its requirement, etc. A general format of an invoice can be presented with example as follows:-

Suppose, Quick Supply store purchases rice from Shreeganga Rice Mills on 1.7.2012 the invoice prepared

Trade Discount

At this stage, it may be worth to know a little about trade discount. Some reduction allowance is given by the seller to the buyer. So trade discount is the reduction allowance given by the seller to the buyer at the time of sale of goods. It is generally allowed by the producer to the wholesaler to the retailer to the consumer.

Recorded	Not recorded.
- credit purchase of goods only - Inventory	- Cash purchase of anything - credit purchase of assets not for resale

Posting of Purchase Book

Posting of an individual amount

↓

Posted to the credit of suppliers A/c

→ By Purchase A/c

↓

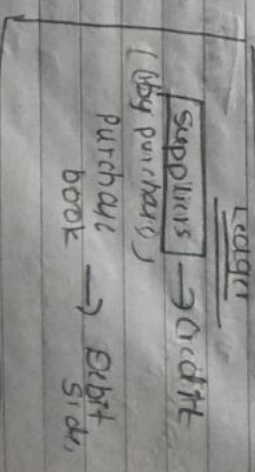
Posted to the debit of Purchase A/c

→ To sundries a/c per purchase book

Summary → Purchase

Sally - outward

S



It may be noted that in all the above cases the word "Journal" may be used for the word "book".

Advantages of Subsidiary Books

Following are the advantages of subsidiary books/sub-division of Journal

- ① Division of work - Since in the place of one Journal there will be so many subsidiary books, the accounting work may be divided amongst a number of clerks.

② Specialization and Efficiency.

When the same work is allotted to a particular person over a period of time, he acquires full knowledge of it and becomes efficient in handling it. Thus the accounting work will be done efficiently.

③ Saving of time

Various accounting processes can be undertaken simultaneously because of the use of number of books. This will lead to the work being completed quickly and efficiently.

④ Availability of Information

Since a separate register or book is kept for each class of transactions, the information relating to each class of transactions, the information relating to each class of transactions will be available at one place.

⑤ Easy for Reconciliation.

When the trial balance does not agree, the location of the trial balance is facilitated by the presence of separate books. Even the commission of errors and frauds will be detected by the use of various subsidiary books.

Purchase Book.

It is a subsidiary book or special journal which is used for recording the goods purchased on credit. It is also called Purchase Journal, Purchase Day Book or Invoice Book.

The following transactions are not recorded in the Purchase Book:

1. Cash purchases: Cash purchases are recorded in the ~~Purchase~~ Cash Book.

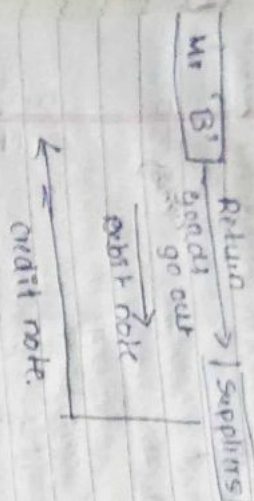
2. Assets/stationery purchased: Assets/stationery purchased for cash are recorded in the Cash Book and the assets/stationery purchased on credit are recorded in the Journal Proper.

Format of Purchase Book

Purchase Book

Date	Particulars	Inward Invoice No.	Amount
			£

PURCHASE RETURN BOOK



Posting of PRB

Posting of Individuals

Amount ↓

Posted to the debit of supplier A/c

→ To purchase return A/c

Posting of Prudence

↓

Posted to the credit of P.R. A/c

→ By sundry A/c

Format of PIR

Particulars	Debit Note	Liability	Detail	Amount
(1)	(2)	(3)	(4)	(5)
				(6)

Purchase Return Book

It is subsidiary book which is used for recording the goods return to the suppliers. It is also called as purchase return journal or return outward book.

(i) Purchase return → goods returned to the suppliers out of the credit purchase due to defect, damage or wrong supply.

(ii) Purchase Allowance - Allowance claimed from the suppliers for the defective or short supply of goods.

(iii) Recording and Posting

The source of documents used for recording return in the purchase return book.

Debit note contains the details of supplier the goods return or allowance claimed

Posting is made to purchase return A/c and to each suppliers A/c. the suppliers A/c is debited with the amount of returns and the purchase return A/c is credited with the monthly total

Debit Note

Debit Note is a document, which contains the details for debiting an account. This is prepared when the goods are returned to the suppliers or the allowance is claimed from him.

This is also prepared when additional amount recoverable from the customer and note is paid. In this situation the note is called as a debit note.

Suppose, needs provision shop returns on 30th August 2012 to Nandya & Co. with 2 bags of rice purchased at Rs 2400 subject to 10% discount, due to wrong supply. The debit note prepared by needs provision shop appears as follows

Formal structure

Dr.

Journal L.F. Amt

20041

Date Particular

11/1/25 Rahul Tracks

40 x 60 = 2400

80 x 15 = 1800

50 x 20 = 1000

4600

10% Trade discount @

10%

4600 x 10 = 460

100

4600

- 460

4140

15/1/25 Global Stationery

40 x 8 = 320

50 x 10 = 500

20 x 20 = 400

1220

10% 5% trade discount

1220 x 5 = 61

100

1220

- 61

1159

25/1/25 Mumbai Tracks

10 x 100 = 1000

400 x 3 = 1200

2200

30/1/25 Girish Tracks

20 x 40 = 800

Total

8299

Enter the following transaction in Purchase book

11/1/2025 Purchased goods from Mr. Surah 10,000

9/1/2025 Credit purchase from Mr. Santosh 20,000

10% Trade discount 20,000 x 10% = 2,000

11/1/2025 Purchased from Mahesh 8,000

16/1/2025 Purchased office furniture from Bangalore Furniture 15,000

26/1/2025 Bought goods from Girish 28,000

Trade discount

Date Particular Journal L.F. Amt

11/1/25 Mr. Surah 10,000

9/1/25 Mr. Santosh 20,000

10% = 2,000 x 10 = 200

@ 10% discount 2000

= 2000

- 2,000

11/1/25 Mahesh Tracks 8,000

26/1/25 Girish 28,000

10% = @ 5% trade discount

28,000 x 5 = 1,400

= 1,400

= 28,000 - 1,400 = 26,600

Total 82,600

Page _____
Date _____

11

1000

$1 = 0.0000$
 $0.1 = 0.0000$
 $0.01 = 0.0000$

1000

②

960

245

10



PURCHASE RETURN

DATE	PARTICULARS	AMOUNT	DATE	PARTICULARS	AMOUNT
6/1/12	Rajendra	500			
15/1/12	Arjun	1500			
	Trade discount: 10%	1500 x 10/100 = 150			
		1500			
		- 150			
		<u>1350</u>			
28/1/12	Sagar	800			
	2100 x 3	6300			
	Total	8,150			
Dr	Particulars	JIF Amt	Cr	Particulars	JIF Amt
6/1/12	To Purchase / return etc	500	11/1/12	By Purchase etc	4400
31/1/12	To balance c/d	3900			
		<u>4400</u>	1/2/12	By bal bid	4400
Dr	Particulars	JIF Amt	Cr	Particulars	JIF Amt
6/1/12	To Purchase / return etc	1350	31/1/12	By Purchase etc	4500
31/1/12	To bal bid	3150			
		<u>4500</u>	1/2/12	By bal bid	3150

Guar. Proved

Dr	Particulars	JIF Amt	Cr	Particulars	JIF Amt
6/1/12	To balance c/d	6300	10/1/12	By Purchase etc	6300
		<u>6300</u>			
Dr	Particulars	JIF Amt	Cr	Particulars	JIF Amt
10/1/12	To P/R	6300	20/1/12	By Purchase etc	73500
31/1/12	To balance c/d	6700			
		<u>73500</u>	1/2/12	By bal bid	73500
Dr	Particulars	JIF Amt	Cr	Particulars	JIF Amt
10/1/12	To sundry suppliers etc	88,700	31/1/12	By bal c/d	88,700
31/1/12	To bal bid	88,700			
		<u>88,700</u>			
Dr	Particulars	JIF Amt	Cr	Particulars	JIF Amt
31/1/12	To bal c/d	8150	31/1/12	By sundry suppliers	8150
		<u>8150</u>	1/2/12	By bal bid	8150

PURCHASE BOOK

Enter the following in the purchase book and

11/1/2013 Purchase return book and post them to the ledger

Bought from Rajendra goods of ₹ 4,000 on account and packing and delivery charges

₹ 400

31/1/2013 Purchased goods from Arun ₹ 5,000

Wt 10% trade discount

21/1/2013 sent a debt note to Rajendra for an overcharge by him ₹ 500

Purchase return

10/7/2013 Purchase goods from Guna Prasad ₹ 7,000 subject to trade discount

of 10%

15/1/2013 Return defective goods to Arun

1500 Purchase return

(10% discount see 31/1/2013)

20/1/2012 Sagar supply on credit 35 units at ₹ 2,100 per unit purchase

on credit

25/1/2012 sent a debt note to Sagar for

the short supply of 3 units

(Purchase return 2,100 x 3)

28/1/2012 Cash purchase from Anil ₹ 21,800 net 10% discount if 15 cash

Date	Particulars	L/F	Amount
11/1/2013	Rajendra		
	Advt		4,000 + 400
	Packing delivery 400		= 4,400
			4,400
			4,400

Date	Particulars	L/F	Amount
31/1/2013	Arun		
	5,000		
	Wt 10% trade discount		
	= 500 x 10 = 500		
			4,500

Date	Particulars	L/F	Amount
10/7/2013	Guna Prasad		
	7,000		
	Wt 10% trade discount		
	= 700 x 10 = 700		
			6,300

Date	Particulars	L/F	Amount
20/1/2012	Sagar Supply		
	35 x 2,100		
	= 73,500		
	Total P.R.		73,500

Date	Particulars	L/F	Amount
28/1/2012	Anil		
	21,800		
	10% discount		
	= 2,180		
			19,620

Date	Particulars	L/F	Amount
25/1/2012	Sagar		
	3 units		
	2,100 x 3		
	= 6,300		
	Total P.R.		6,300

DEBIT NOTE
Needs Provision Shop
AB Road, Bangalore
Ph No:- 944944928

No. 151
TO,
Mandya Riv. mllk.

Amnt (₹)

Sl. No.	Particulars	Amnt (₹)
1.	We have debited your account for the goods returned due to wrong supply of:-	
	2 bags of rice X Rs 2400	4800
	2 bags of rice X Rs 2400	4800
	Less:- 10% Trade discount	480
		4320

Rup's Four thousand three hundred twenty only

For needs Provision shop

Problem-1

1. Prepare Purchase return Book from the following transactions in the books of Vidya Stationary

- 9/1/2012 return 50 notebooks to national publisher purchased at ₹ 80 per book
- 9/1/2012 return 80 accessories that book to Bhuvan Suppliers purchased at ₹ 850, per book, subject to 85% discount
- 22/1/12 claim allowance from national publisher for short supplying of 80 notebooks at ₹ 100 per book

Dr	Particular	Debit no	LF	Details	Amnt (₹)
	National Publishers				
	50 x 20 = 1000				1000

Dr	Particular	Debit no	LF	Details	Amnt (₹)
	Bhuvan Suppliers				
	80 x 850 = 5000				5000
	Less:- 85% of discount				1850
					3150

Dr	Particular	Debit no	LF	Details	Amnt (₹)
	National Publishers				
	30 x 100 = 3000				3000

Total 7,750

Ledger A/c.

Dr	Particular	LF	Amnt	Dr	Particular	LF	Amnt
	To PIR		1000		By bal old		4000
	To PIR		3000				
			4000				4000

Dr	Particular	LF	Amnt	Dr	Particular	LF	Amnt
	To bal old		4000				

Bhuvan Suppliers

Dr	Particular	LF	Amnt	Dr	Particular	LF	Amnt
	To PIR		3750		By bal old		3750
			3750				3750

Dr	Particular	LF	Amnt	Dr	Particular	LF	Amnt
	To bal old		3750				

Purchase return A/c

Dr	Particular	LF	Amnt	Dr	Particular	LF	Amnt
	To bal old		7750		By sundry Suppliers		7750
			7750				7750

Dr	Particular	LF	Amnt	Dr	Particular	LF	Amnt
	To bal old		7750				

Ledger Raghu A/c

Dr	Particular	J/F	Am't	Cr	Particular	J/F	Am't
	By bal cld		89,250				
4/1/25	To sales A/c		89,250				
			<u>89,250</u>				
11/1/25	To bal bld		89,250				

Dr	Particular	J/F	Am't	Cr	Particular	J/F	Am't
	By bal cld		35,000				
9/11/25	To sales A/c		35,000				
			<u>35,000</u>				
11/1/25	To bal bld		35,000				

Dr	Particular	J/F	Am't	Cr	Particular	J/F	Am't
	By bal cld		3430				
23/11/25	To sales A/c		3430				
			<u>3430</u>				
11/1/25	To bal bld		3430				

Dr	Particular	J/F	Am't	Cr	Particular	J/F	Am't
	By bal cld		8000				
27/11/25	To sales A/c		8000				
			<u>8000</u>				
11/1/25	To bal bld		8000				

Dr	Particular	J/F	Am't	Cr	Particular	J/F	Am't
	By bal cld		35,680				
3/11/24	To sales A/c		35,680				
			<u>35,680</u>				

Sales Return Book

It is a subsidiary book, which is used for recording the goods returned by the customer. If it is due caused sales return or return inward involved book.

Similar to purchase return book, the following transaction are recorded in the sales return book.

① Sales return
goods returned by the customers out of credit sale due to defects, damage or wrong supply.

② Sales allowance
allowance claimed by the customer for the overcharge or short supply of goods.

③ Retarding and Posting
the source of documents used for recording entries in the sales return book is caused credit note.

A credit note contains the details of the customer who has returned or claim the allowance, the details of the goods returned or the allowance claimed. Each credit note serially number and dated.

Dr	Particulars	Credit note no.	J/F	Am't

SALES - 2021
 SALES RETURN - 2021
 Date: _____
 Page: _____

Ledger A/c Grand A/c

Dr	Particulars	J/F Amt	Dr	Particulars	J/F Amt
Dr	Particulars	J/F Amt	Dr	Particulars	J/F Amt
11/12/21	TO SALES A/c	4500	31/12/21	By Balance	7500
11/12/21	By SALES A/c	3000			
		7500			7500
11/12/21	TO bal bid	4500			
Dr	Particulars	J/F Amt	Dr	Particulars	J/F Amt
31/12/21	TO SALES A/c	3400	31/12/21	By bal bid	3400
		3400			3400
11/12/21	TO bal bid	3400			

March A/c

Dr	Particulars	J/F Amt	Dr	Particulars	J/F Amt
Dr	Particulars	J/F Amt	Dr	Particulars	J/F Amt
31/12/21	TO SALES A/c	3500	31/12/21	By bal bid	3500
		3500			3500
11/12/21	TO bal bid	3500			3500

July A/c

Dr	Particulars	J/F Amt	Dr	Particulars	J/F Amt
Dr	Particulars	J/F Amt	Dr	Particulars	J/F Amt
31/12/21	By SALES A/c	14,400			

Q2

From the following transactions prepare the sales book of Navin Furniture for the month of January 2021

4/1/2021 sold on credit to Raghu traders Hubli 25 chairs of ₹ 500 each

10 table of ₹ 8000 each trade discount at 10%

9/1/2021 sold to Nargana traders a table of ₹ 1500 each, 4 mirror of ₹ 8000 each

Job branch A/c

7/16/1/2021 sold on old typewriter to Tanaka Motors ₹ 8000

23/1/2021 sold to M. Deepak one table of ₹ 1500 and 4 chairs of ₹ 500 each trade discount of 8%

27/1/21 sold to Anand store 10 chairs of ₹ 800 each

Dr	Particulars	Cr	Particulars	J/F Amt
Dr	Particulars	Cr	Particulars	J/F Amt
27/1/21	Raghu traders	18500		
	25 x 500 = 12500			
	10 x 800 = 8000			
	Trade discount 10% = 850			
				29550

24/1/21 trade discount 10%

$32500 \times 10 = 3250$

$32500 - 3250 = 29250$

21/1/21 Meghona traders

$2 \times 1500 = 3000$

$4 \times 8000 = 32000$

$+ 35000$

23/1/21 Deepak

$1 \times 1500 = 1500$

$4 \times 500 = 2000$

$+ 3500$

24/1/21 2%

$\frac{3500}{100} \times 2 = 70$

$= 70$

$3500 - 70 = 3430$

27/1/21 Anand store

$10 \times 800 = 8000$

8000

759680

Date _____
 Page _____

→ no fixed format

Date	Particulars
------	-------------

Ant

NO+ Records

- Inventory (stock)

eg:- old computer,
sold or credit

total $\rightarrow$ end of the

Posting of Periodic totals

Posted to the credit
of sale a/c

→ By sundry as
per sales Book

Cash sales are recorded in the Cash Book.

the format of the Sales Book similar to the purchase book. The source of document for recording entries in the sales book outward invoice. the date of sale, the customer name,

Problem 1.

Prepare a sales book of new India traders for the month of December 2018.

1/18/2018 Sold goods to Ahmad at 10% discount 4500

of 5000 for his personal use

Date	Particulars	Amount
4/12/2012	Cash sale to Manohar	₹ 1400 X
4/12/2012	Sold to Aft	₹ 4,000 on A/c, and
7/12/2012	Subjected to 15% trade discount	

1211212012

anand bought from credit of
his personal ac of 3,000 ^{Dr} _{Cr}

05/12/2012

Credit sale to Manohar ₹ 3500

11/12/2012

Amund

$w_1 \therefore 15\%$ trade discount

$$= \frac{5000}{100} \times 10 = 500$$
$$= 5000$$
$$\begin{array}{r} 500 \\ \hline 4500 \end{array}$$

7/12/12

 $57 +$

24000

W1: -15% trade distorsion

$$= \frac{4000}{100} \times 15 = 600$$
$$= 4000$$

209 -

340C

1212112

Armand

25/12/13

Na hohar

Total

14,400

Purchase book

Date Particulars Amt (₹)

1/3/2013 Nandini department store

100 x 2500

= 2,50,000

6/3/2013 Ajith traders

10,000

10% - 20%
trade discount $\frac{10,000 \times 20}{100} = 2000$

10,000 - 2000 = 8000

22/3/13 Bhomath traders

25000 - 30 x 450 = 13,500

total

9,000
13,500
26,500

Purchase Return Book

Date Particulars Date L.F. Amt (₹)

11/3/13 Nandini department store

10 x 2500

= 25000

20/3/13 Bhomath traders

total

26,500

Sales book

50,000 classmate

Date
Page

Date Particulars Date L.F. Amt (₹)

10/3/2013 Rahim

40 x 190 = 7600

14/3/13

Karthi store

5000

5000

100 x 10 = 500

= 5000 - 500 = 4500

22/3/13

Uday

= 20 x 15000

= 300000

10% = 10% trade discount

300000 x 10 = 30000

300000 - 30000 = 270000

100

340000

24/3/13

Abhyut

30 x 450 (Purchase)

= 13500

25/3/13

Triupati & company

28/3/13

Varada suppliers

50,100

- 13,500

36,600

Dr Mahab etc

Dr	Particular	JF Amt	Dr	Particular	JF Amt
	Particular	JF Amt		Particular	JF Amt
31/12/12	to bal old	1500	11/12/12	By Bal old	1500
		1500			1500

Shreehar and Company etc

Dr	Particular	JF Amt	Dr	Particular	JF Amt
	Particular	JF Amt		Particular	JF Amt
31/12/12	to bal old	1890	11/12/12	By Bal old	1890
		1890			1890

Solu Return etc

Dr	Particular	JF Amt	Dr	Particular	JF Amt
	Particular	JF Amt		Particular	JF Amt
31/12/12	to sundr etc	5390	31/12/12	By Bal old	5390
		5390			5390

Problem, which contains all type of subsidiary

Enter the following transaction in the proper

subsidy book for the month of march

2013 in the books of Jangpura traders

11/3/2013 purchased 100 units from Nandini

Report must show at ₹ 8500 per unit

11/3/2013 Return to defective goods to Nandini

14/3/2013 sold Keshi store ₹ 5000 on credit

at 10% discount

placed an order with Krishna

for 75 units at ₹ 50 per unit

16/3/2013 Krishna accepted the order and

supply the goods.

18/3/2013 Rohini returned 5 damaged units

to Vday on A/c at 10% trade

discount = 15,000 x 10% = 1500

20/3/2013 purchased goods from Bhawani traders

at ₹ 9000

22/3/2013 Abhijit sold 50 units at ₹ 450

per unit

25/3/2013 sold to Tripati & company

₹ 7,000 on A/c

27/3/2013 Vday returned 4 defective

units to Vday

29/3/2013 sold to Varado Suppliers

₹ 4000 on A/c

30/3/2013 sent a debt note Bhawani

traders for overcharge of ₹ 1500

31/3/2013 Varado Suppliers returned defective

goods of ₹ 1000

27/3/13 Vday a unit x ₹ 50

10% trade discount

3000

3000

3000

3000

3000

3000

3000

3000

3000

3000

3000

3000

Credit Note

A credit note is a document, which informs the details of crediting amount, this is prepared when the goods are returned by the customers or the allowance is claimed by him.

Suppose, Need provision store receive on 5th August 2012 from Mr. Anand ~~to~~ 2 bags of rice sold at ~~22~~ 2400, subjected to 10% discount due to wrong supply, the credit note prepared by need provision store appears as follows

DEBIT

CREDIT NOTE

Needs Provision Shop

AB Road, Bangalore,

Pb No - 9449 7292 78

No: 153

TO,

Mr Anand

Date: 5/9/12

Sl. No.

Particulars

Am't (₹)

1.

we have credited your account for the goods returned due to wrong supply

Q1:-

22 bags of rice X Rs 2400

Less:- 10% Trade discount

4800

480

4320

Supers four thousand three hundred twenty only

e: 102

Sl:-

For needs Provision

store

Enter the following transaction in the cash return book 2012.

11/11/2012 Received damage goods from Abhay ₹ 2000

11/11/2012 allowance granted to Mahesh for Overcharge ₹ 1500

20/11/12 Shukhar and company return defective goods ₹ 2100

12/11/12 10% Trade discount.

Dr

Particulars

Rs

L.F

Am't

11/11/12

Abhay

2000

11/11/12

Mahesh

1500

20/11/12

Shukhar and company

2100

2100 X 10

Less:- 10% Trade discount

1890

100

2100 X 10 = 210

2100

2100 - 210 = 1890

5390

Legenda file

Abhay file

Dr

Particulars

JIF Am't

Dr

Particulars

JIF Am't

20/11/12

To bay old

2000

11/11/12

By salary 1000

2000

2000

20/11/12

By bay bid

2000

EXAMPLE

Bill Receivable

V/S Bill Payable

Customer

credit sale

PHARMACY

credit purchase

PHARMACIST

yet to receive

msd

yet to pay for bill payable

msd not paid

yet to take time

credit purchase (not yet received)

Use the following information for preparing bill receivable and payable book.

Dr

July 2 2021 Received acceptance from Ishing for RS 10,000 payable over 2 months

July 21 2021 gave acceptance to Sumit for RS 5,000 payable after 2 months

July 30 Received acceptance from Hari for RS 8,000 payable after 60 days

August 6 Sdresh bill for RS 2000 which is payable after 9 months

August 12 Received acceptance from Sohan against a bill for RS 1000

add 3 (month)

Bill receivable book

add 3 (month)

July 2 2021 Received from Ishing 10000

July 20 2021 Hari 8000

August 6 2021 Sdresh 2000

August 12 2021 Sohan 1000

September 9 2021 Sumit 5000

October 9 2021 Satish 8000

November 9 2021

December 9 2021

January 9 2022

February 9 2022

March 9 2022

April 9 2022

May 9 2022

June 9 2022

classmate

add 3 (month)

add 3 (month)

add 3 (month)

add 3 (month)

add 3 (month)

add 3 (month)

add 3 (month)

add 3 (month)

add 3 (month)

add 3 (month)

add 3 (month)

add 3 (month)

add 3 (month)

add 3 (month)

add 3 (month)

add 3 (month)

SOLY RETURN

Date

Particulars

Credit

Am't (₹)

27/3/13

Today

4x 750 = 3000

Wt:- 10% Trade discount

$\frac{3000 \times 10}{100} = 300$

3000 - 300 = 2700

2700

31/3/13 Varada Suppliers

1000

12/3/13

Rohim

5 x 190 = 950

950

Total

4950

PREPARATION OF BILL RECEIVABLE BOOK

It contains the transaction to the bills provided by a trader, accepted by the customer and their after returned back to the trader after duly accepted this is subsidiary book is also referred to 'bills receivable journal'

FORMAT

Particulars

Bills Receivable book

S. No.	Date of Receipts	From whom received	Drawn Accepts	When payable	Date of bill
--------	------------------	--------------------	---------------	--------------	--------------

PREPARATION OF BILL'S PAYABLE BOOK.

It contains the transaction to the bills raised by the other party (suppliers) accepted by the traders and their after returned back to them. (by whom they were raised) after having duly accepted by the trader. This is subsidiary book also is also referred to as bills payable journal's

Format

Bills Payable book

Bill	Date when given	Drawn	Payee	When payable bill	Time	Bill	LF	Am't	Remain
------	-----------------	-------	-------	-------------------	------	------	----	------	--------

FORMAT - Bills RECEIVED

S. No.	Date	LF	Am't (₹)	Remain
--------	------	----	----------	--------

Receipts		Payments	
Date	Particulars	Date	Particulars
18/1/25	To bal b/d (cash in hand)	18/1/25	By Purchase
5/1/25	To Bhanu	18/1/25	By Stationery
15/1/25	To sales	22/1/25	By Rohan
		28/1/25	By salary
		30/1/25	By rent
		30/1/25	By bal d/d (cash in hand)
18/1/25	To bal old	25/1/25	
		13/2/25	

③ Record the following transaction in simple cashbook

Date	Particulars	Date	Particulars
1/1/2025	Cash in hand 12,500		
4/1/2025	Cash paid to Han 600		
7/1/25	Purchased goods 800		
18/1/25	Cash received from Amit 1960		
16/1/25	Sold goods for cash 800		
20/1/25	Paid to Manish 590		
25/1/25	Paid cartage 100		
31/1/25	Paid salary 1000		
11/1/25	To bal b/d (cash in hand)	18/1/25	By Han
18/1/25	To Amit	20/1/25	By Manish
16/1/25	To sales	25/1/25	By cartage
		31/1/25	By salary
		31/1/25	By bal d/d
18/1/25	To bal old	18/1/25	
		19,170	

Double column cash Book → cash and pay.
It is a book in which we record all the transaction which affects the cash and bank balance of the business.

type of cash book

- ① single column cash book → only cash column
- ② double column cash book
 - ① cash / Bank column
 - ② cash / Bank and column

③ Triple column cash book

cash column + Bank column + Discount column

④ Petty column cash book

Note: ① Bank balance can be negative (Overdraft) → so opening balance can be on credit side → By Bal b/d.

② Contra entry (Double side payment as using a receipt & write C to both) single transaction → adding → Bank A/c ✓

transaction related to bank only
bank → double entry
related

③ Deposited into bank P.S. time.
whenever transaction related to bank writing → double entry

Deposited into bank contra with Payment & Receipt side

Or Format of cash book
 Dr Receipts Lf Amt (₹) Date Payment Lf Amt (₹) Cr

Simple / single column cash book
 single column cash book also referred simple cash book records only cash receipts and cash payments. It has only one money column on each side of the debit side and credit side all the cash receipts are entered on the debit side and the cash payments on the credit side.

Format of single column cash book

Dr Receipts		Payments		
Date	Particulars Lf	Cash (₹)	Particulars Lf	Cash (₹)
10/7/15	1000			
11/7/15	2000			
12/7/15	3000			
13/7/15	4000			
14/7/15	5000			
15/7/15	6000			
16/7/15	7000			
17/7/15	8000			
18/7/15	9000			
19/7/15	10000			
20/7/15	11000			
21/7/15	12000			
22/7/15	13000			
23/7/15	14000			
24/7/15	15000			
25/7/15	16000			
26/7/15	17000			
27/7/15	18000			
28/7/15	19000			
29/7/15	20000			
30/7/15	21000			
31/7/15	22000			
32/7/15	23000			
33/7/15	24000			
34/7/15	25000			
35/7/15	26000			
36/7/15	27000			
37/7/15	28000			
38/7/15	29000			
39/7/15	30000			
40/7/15	31000			
41/7/15	32000			
42/7/15	33000			
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259/7/15	250000			
260/7/15	251000			
261/7/15	252000			
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271/7/15	262000			
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275/7/15	266000			
276/7/15	267000			
277/7/15	268000			
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279/7/15	270000			
280/7/15	271000			
281/7/15	272000			
282/7/15	273000			
283/7/15	274000			
284/7/15	275000			
285/7/15	276000			
286/7/15	277000			
287/7/15	278000			
288/7/15	279000			
289/7/15	280000			
290/7/15	281000			
291/7/15	282000			
292/7/15	283000			
293/7/15	284000			
294/7/15	285000			
295/7/15	286000			
296/7/15	287000			
297/7/15	288000			
298/7/15	289000			
299/7/15	290000			
300/7/15	291000			
301/7/15				

Purchase return

Date	Particulars	Exhibit	L/F	Details	Amt (₹)
9/5/11	Bharathi				500
12/5/11	Vani				450
14/5/11	Ramya				300
16/5/11	Sourya				250
	Total				1500

Sale

Date	Particulars	Exhibit	L/F	Details	Amt (₹)
9/5/11	Vani				5000
	Total				5000

Bill Payable

Date	From whom received	Temp of bill	due date	L/F	Amt (₹)	Remark
12/5/11	Kumar	1000	21/5/11		8550	
	Total				8550	

Bill payable receivable

Date	From whom received	Temp of bill	due date	L/F	Amt (₹)	Remark
20/5/11	Smitha	1000	30/5/11		3750	
	Total				3750	

Sale Return

Date	Particulars	Exhibit	L/F	Details	Amt (₹)
14/5/11	Ramya				800
16/5/11	Sourya				850
18/5/11	Vani				450
	Total				2100

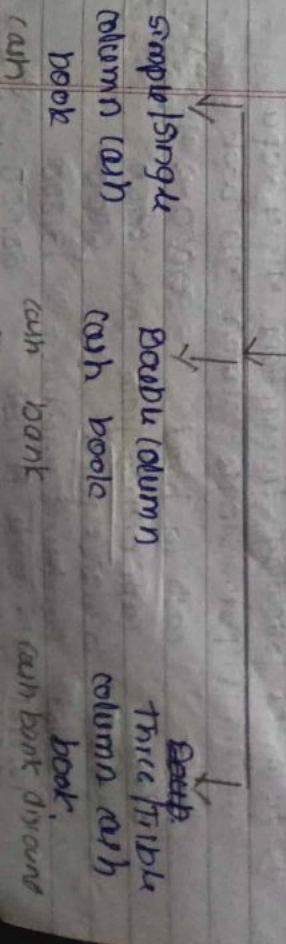
Cash Book

Cash book is a book in which all transactions relating to cash receipts and cash payments are recorded. It starts with the cash or bank balance at the beginning of the period. Generally, it is made on monthly basis. This is a very popular book and maintained by all organisation, big or small, profit/non profit. It serves the purpose of both journal & ledger account. It is always maintained in original entry. When a cash book is maintained, transaction of cash are not recorded in the Journal, and no separate account for cash or bank is required in the ledger.

Features of Cash Book

- 1) Cash Receipts are entered on the debit side of cash book
- 2) Cash Payments are entered on the credit side of the cashbook
- 3) It starts with cash or bank balance in the beginning of the period
- 4) It ends with cash or bank balance at the end of the period.
- 5) It serves purpose of both the journal & ledger etc

Types of Cash Book



4) Prepare two column cash book of unique system limited for the month of October 2024 from the following transaction

Date		Receipt		Payments	
11/10/24	cash in hand 6050	11/10/24	Particulars	11/10/24	Particulars
11/10/24	cash in bank 13,760	11/10/24	Particulars	11/10/24	Particulars
11/10/24	Deposited into bank 8250	11/10/24	Particulars	11/10/24	Particulars
11/10/24	Purchased goods per cash 8750	11/10/24	Particulars	11/10/24	Particulars
14/10/24	cash sales deposited into bank on the same day 3460	11/10/24	Particulars	11/10/24	Particulars
10/10/24	received cheque from prima 4440	11/10/24	Particulars	11/10/24	Particulars
28/10/24	Prime cheque deposited into bank 4440	11/10/24	Particulars	11/10/24	Particulars
26/10/24	paid trade expenses 850	11/10/24	Particulars	11/10/24	Particulars
31/10/24	Bank charges 150	11/10/24	Particulars	11/10/24	Particulars
11/10/24	cash in hand 6050	11/10/24	Particulars	11/10/24	Particulars
11/10/24	cash in bank 13,760	11/10/24	Particulars	11/10/24	Particulars
11/10/24	Deposited into bank 8250	11/10/24	Particulars	11/10/24	Particulars
11/10/24	Purchased goods per cash 8750	11/10/24	Particulars	11/10/24	Particulars
14/10/24	cash sales deposited into bank on the same day 3460	11/10/24	Particulars	11/10/24	Particulars
10/10/24	received cheque from prima 4440	11/10/24	Particulars	11/10/24	Particulars
28/10/24	Prime cheque deposited into bank 4440	11/10/24	Particulars	11/10/24	Particulars
26/10/24	paid trade expenses 850	11/10/24	Particulars	11/10/24	Particulars
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11/10/24	cash in hand 6050	11/10/24	Particulars	11/10/24	Particulars
11/10/24	cash in bank 13,760	11/10/24	Particulars	11/10/24	Particulars
11/10/24	Deposited into bank 8250	11/10/24	Particulars	11/10/24	Particulars
11/10/24	Purchased goods per cash 8750	11/10/24	Particulars	11/10/24	Particulars
14/10/24	cash sales deposited into bank on the same day 3460	11/10/24	Particulars	11/10/24	Particulars
10/10/24	received cheque from prima 4440	11/10/24	Particulars	11/10/24	Particulars
28/10/24	Prime cheque deposited into bank 4440	11/10/24	Particulars	11/10/24	Particulars
26/10/24	paid trade expenses 850	11/10/24	Particulars	11/10/24	Particulars
31/10/24	Bank charges 150	11/10/24	Particulars	11/10/24	Particulars
11/10/24	cash in hand 6050	11/10/24	Particulars	11/10/24	Particulars
11/10/24	cash in bank 13,760	11/10/24	Particulars	11/10/24	Particulars
11/10/24	Deposited into bank 8250	11/10/24	Particulars	11/10/24	Particulars
11/10/24	Purchased goods per cash 8750	11/10/24	Particulars	11/10/24	Particulars
14/10/24	cash sales deposited into bank on the same day 3460	11/10/24	Particulars	11/10/24	Particulars
10/10/24	received cheque from prima 4440	11/10/24	Particulars	11/10/24	Particulars
28/10/24	Prime cheque deposited into bank 4440	11/10/24	Particulars	11/10/24	Particulars
26/10/24	paid trade expenses 850	11/10/24	Particulars	11/10/24	Particulars
31/10/24	Bank charges 150	11/10/24	Particulars	11/10/24	Particulars

(ii) Cash and Discount Column
In the double column cashbook both cash as well as discount transaction are recorded. when only cash transaction are recorded, and additional column for discount transaction is added to facilitate of increasing number of discount transaction.

Difference between trade discount and cash discount.

Trade Discount
It is reduction granted by a supplier from the list price of goods, services or business considerations such as quantity brought + trade practice, etc) after other than for prompt payment.

Cash Discount
A reduction granted by a supplier from the invoice price in consideration of immediate payment or payment with a stipulated period.

It is allowed to promote the sales or as a trade practice. It is allowed to receive the prompt payment.

It is allowed on purchase of goods. It is allowed on immediate payment.

It is shown by way of deduction in the invoice itself. It is not shown in the invoice.

Trade Discount amount is not opened in the ledger. Cash Discount amount is opened in the ledger.

It may vary with the quantity purchased. It may vary with the period within which the payment is made.

Record the following
column cash book.

Date	Description	Debit	Credit
1/8/85	Cash balance	80,000	
1/8/85	Bank balance	15,000	
8/8/85	Paid Auto bank	5,000	
10/8/85	Cash sales	18,000	
	* Cash discounts (180 / 100 * 3000)		540
12/8/85	Paid telephone bill by cheque	1,500	
8/1/85	Payments for cash purchases	4000	
	Cash discounts (40 / 100 * 4000)		1600

[illegible]

NOTE:-
cash discount will be recorded in journal proper (so ignore this in problem)

③ Prepare Bank column, cash column, from the following transaction of Modern amortal for the month of June 2025

8000	Cash in hand	8000	-> to bal b/d
117/85	Bank overdraft	6400	2072 by/bal bid.
	Purchase good	4000	by bank

	10/7/25		10/7/25
cash	1,000	cash	3,200
paid	1,000	paid	3,200
by cash		by cash	

06/7/85 credited American bank 101 personal ac 1,300
cash A/c - 101 -> drawing
CO's liability entry
currently 101
new p1,301 debit

06/7/85 paid insurance premium by cheque. 1,000 P bank
P cash 101
06/7/85 paid insur 800 P bank
induct charged by bank on overdraft 50 P bank
only overdraft 50
directly in payments folio

[illegible]

Double column cash book

A cashbook in which there are 2 columns of amount on each side to record both cash and bank transaction is called double column cash book

Contra entry

entry made on the both debit & credit side of double column cash book. To record a single transaction are called contra entry.

For example:- When cash is deposited into the bank the amount deposited is entered in the bank column on the debit side & the same amount is entered in the cash column on the credit side of the cash book.

- 1) Cash deposited into bank paid.
- 2) Cash withdrawn from the bank.
- 3) cheque deposited into bank

Ex ① Deposited ₹ 100 into bank

Bank A/c — Dr		100	
Particulars	Dr	Particulars	Cr
By cash	100	By Bank C	100

Ex ② Withdraw ₹ 100 from the bank

TO Bank A/c — Dr		100	
Particulars	Dr	Particulars	Cr
By cash	100	By Bank	100

The latter is "C" is written in L.F column while making contra entry.

(1) Cash and Bank column

Problem 1
① Prepare Double column cash Book from the following transaction Feb 2025

Date	Particulars	Dr	Particulars	Cr
1/2/25	Cash in hand	7500	By bank	7500
1/2/25	Bank overdraft	18,500	By bank	18,500
3/2/25	Paid wages	600	By cash	600
7/2/25	Goods purchased	2400	By cash	2400
10/2/25	Cash paid into bank	5000	By bank	5000
16/2/25	Cash salary 8000	8000	By cash	8000
21/2/25	Commission received	2500	By cash	2500

Date	Particulars	Dr	Particulars	Cr
1/2/25	TO bank	7500	By bank	7500
1/2/25	TO bank	5000	By cash	5000
3/2/25	TO cash	600	By cash	600
7/2/25	TO cash	2400	By cash	2400
10/2/25	TO bank	5000	By bank	5000
16/2/25	TO cash	8000	By cash	8000
21/2/25	TO cash	2500	By cash	2500
28/2/25	TO bank	18,000	By bank	18,000
1/3/25	TO bank	12,400	By bank	12,400

Bank paid into bank — is contra entry because whatever transaction related to bank is contra entry with C in L.F

1) cheque → enter in bank.
bank overdraft → enter in payment side.
cash in hand → enter in payment side.
cash balance, bank balance, all or opening bal → enter in bank.

Receipts

Date	Particulars	Dr	Cr	Particulars	Dr	Cr
1/12/21	To capital	10,000		1/12/21	By Journal	
6/2/21	To salary	5000		1/12/21	By Purchase	
8/2/21	To debitor	10		1/12/21	By Royalty	
10/12/21	To bank	(500-100)		1/12/21	By 10000	
23/2/21	To bank	2500		1/12/21	By 2000	
1/3/21	To bank	10,000		1/12/21	By 4000	
	Total	10,000	10,000		Total	10,000

Payments

Date	Particulars	Dr	Cr	Date	Particulars	Dr	Cr
1/12/21	By Journal			1/12/21	By Purchase		
6/2/21	By Royalty			1/12/21	By 10000		
8/2/21	By 10000			1/12/21	By 2000		
10/12/21	By 2000			1/12/21	By 4000		
23/2/21	By 4000				Total	10,000	10,000
1/3/21	By 10000				Total	10,000	10,000

2)

Prepare a triple column Cash Book

11/12/21 started business with cash 50,000

21/12/21 opening bal of bank 30,000

31/12/21 purchased goods and paid by cheque 2000

4/1/22 sold goods to Babu 2000 in cash

10/1/22 settlement of 2400 for cash

5/1/22 Received cheque from Ashok 2000

6/1/22 Deposited above cheque into bank 2000

7/1/22 Paid 1400 by cheque 2000 by cash

21/1/22 4000 returned by cheque 10,000

21/1/22 open a bank A/c with cash 2000

1/1/22 withdrawal cash from bank 10000

Receipts

Date	Particulars	Dr	Cr	Date	Particulars	Dr	Cr
1/12/21	To capital	50,000		1/12/21	By Journal		
6/2/21	To salary	30,000		1/12/21	By Purchase		
8/2/21	To debitor	2400		1/12/21	By Royalty		
10/12/21	To bank	2000		1/12/21	By 10000		
23/2/21	To bank	2000		1/12/21	By 2000		
1/3/21	To bank	10,000		1/12/21	By 4000		
	Total	53,400	53,400		Total	53,400	53,400

Payments

Date	Particulars	Dr	Cr	Date	Particulars	Dr	Cr
1/12/21	By Journal			1/12/21	By Purchase		
6/2/21	By Royalty			1/12/21	By 10000		
8/2/21	By 10000			1/12/21	By 2000		
10/12/21	By 2000			1/12/21	By 4000		
23/2/21	By 4000				Total	53,400	53,400
1/3/21	By 10000				Total	53,400	53,400

3)

Prepare three column cashbook from following transaction

11/12/21 cash in hand 20,000 and cash at bank 9000

21/12/21 Bought furniture for 2000 and issued a cheque

31/12/21 Bought 2000 a bank 2000

10/1/22 Bought goods for cash 2800

21/1/22 Paid to Vinay 850 in cash settlement of 900

14/1/22 receive 2150 from Rakesh and allowed him of 750

18/1/22 Paid 1750 to Sathish by cheque

25/1/22 Paid LIC premium 350

27/1/22 withdrawal 5800 by cheque for personal use drawings

21

Receipts			Payments		
Date	Particulars	2H Discount	Date	Part	1H Discount
17/12/21	To bal b/d		16/1/21	By sumit alc	30
21/1/21	To salu alc	550			(1000-940)
5/1/21	To suru alc	40	11/1/21	By sumit alc	150
14/1/21	To cash salu alc	2500	15/1/21	By purchase alc	90
21/1/21	To Ram alc	20	21/1/21	By salary alc	200
		(2500-2110)	25/1/21	By salary alc	50
		60			(2000-1950)
			29/1/21	By salary alc	20
			30/1/21	By wage alc	50
			31/1/21	By Rent alc	50
1/2/21	To bal b/d	1220			780
		60			1820
		9090			909

② Prepare double column cash book from the following transaction of Mr. Ganesh

1/1/2011 Cash in hand 4000
 6/1/2011 Cash purchase 2000
 10/1/2011 wages paid 40
 11/1/2011 Cash salary 6000
 12/1/2011 Cash received from Suru and allowed him discount 1980
 19/1/2011 Cash paid to Meena and discount received 2470
 27/1/2011 Cash paid to Radha 400
 28/1/2011 Purchased goods for cash 2070

FORMAT of Petty Cash Book.

Dr	Receipts	Particulars	Amount	Dr	Payments	Particulars	Amount
20/11/19	By Balance b/d		500	20/11/19	By Postage		35
21/11/19	By Postage		35	21/11/19	By Office Cleaning		150
22/11/19	By Postage		35	22/11/19	By Office Cleaning		150
23/11/19	By Postage		35	23/11/19	By Office Cleaning		150
24/11/19	By Postage		35	24/11/19	By Office Cleaning		150
25/11/19	By Postage		35	25/11/19	By Office Cleaning		150
26/11/19	By Postage		35	26/11/19	By Office Cleaning		150
27/11/19	By Postage		35	27/11/19	By Office Cleaning		150
28/11/19	By Postage		35	28/11/19	By Office Cleaning		150
29/11/19	By Postage		35	29/11/19	By Office Cleaning		150
30/11/19	By Postage		35	30/11/19	By Office Cleaning		150
31/11/19	By Postage		35	31/11/19	By Office Cleaning		150

Problem - 1
 ① Enter the following transactions analysed petty cash book on Impulsed system.

22/11/19 Received a cheque for ₹ 2500 towards petty expenses receipt (had cashing) ₹ 777 Petty cash/impulsed

24/11/19 Spent for postage ₹ 35
 24/11/19 Paid for office cleaning ₹ 150
 24/11/19 Paid travelling expenses to manager ₹ 325
 24/11/19 Paid for cartage ₹ 125
 15/11/19 Paid wages ₹ 500
 20/11/19 Paid to Sudarshan & company ₹ 225 ledger

Dr	Receipts	Particulars	Amount	Dr	Payments	Particulars	Amount
20/11/19	By Balance b/d		500	20/11/19	By Postage		35
21/11/19	By Postage		35	21/11/19	By Office Cleaning		150
22/11/19	By Postage		35	22/11/19	By Office Cleaning		150
23/11/19	By Postage		35	23/11/19	By Office Cleaning		150
24/11/19	By Postage		35	24/11/19	By Office Cleaning		150
25/11/19	By Postage		35	25/11/19	By Office Cleaning		150
26/11/19	By Postage		35	26/11/19	By Office Cleaning		150
27/11/19	By Postage		35	27/11/19	By Office Cleaning		150
28/11/19	By Postage		35	28/11/19	By Office Cleaning		150
29/11/19	By Postage		35	29/11/19	By Office Cleaning		150
30/11/19	By Postage		35	30/11/19	By Office Cleaning		150
31/11/19	By Postage		35	31/11/19	By Office Cleaning		150

22/11/19 Received a cheque for ₹ 2500 towards petty expenses receipt (had cashing) ₹ 777 Petty cash/impulsed

24/11/19 Spent for postage ₹ 35
 24/11/19 Paid for office cleaning ₹ 150
 24/11/19 Paid travelling expenses to manager ₹ 325
 24/11/19 Paid for cartage ₹ 125
 15/11/19 Paid wages ₹ 500
 20/11/19 Paid to Sudarshan & company ₹ 225 ledger

Dr	Receipts	Particulars	Amount	Dr	Payments	Particulars	Amount
20/11/19	By Balance b/d		500	20/11/19	By Postage		35
21/11/19	By Postage		35	21/11/19	By Office Cleaning		150
22/11/19	By Postage		35	22/11/19	By Office Cleaning		150
23/11/19	By Postage		35	23/11/19	By Office Cleaning		150
24/11/19	By Postage		35	24/11/19	By Office Cleaning		150
25/11/19	By Postage		35	25/11/19	By Office Cleaning		150
26/11/19	By Postage		35	26/11/19	By Office Cleaning		150
27/11/19	By Postage		35	27/11/19	By Office Cleaning		150
28/11/19	By Postage		35	28/11/19	By Office Cleaning		150
29/11/19	By Postage		35	29/11/19	By Office Cleaning		150
30/11/19	By Postage		35	30/11/19	By Office Cleaning		150
31/11/19	By Postage		35	31/11/19	By Office Cleaning		150

12M
compulsory

Petty Cash Book. → small book

The small payments of every organisation are recorded in Petty cash Book.

Petty cash Book is an accounting book that records the expenses which are small, recurrent and little value, for example:- stamps, postage and handling, stationery, carriage, daily wages, telegram, and other expenses.

Recording of these expenses would be if they are handled by the cashier and the recording in the main cashbook.

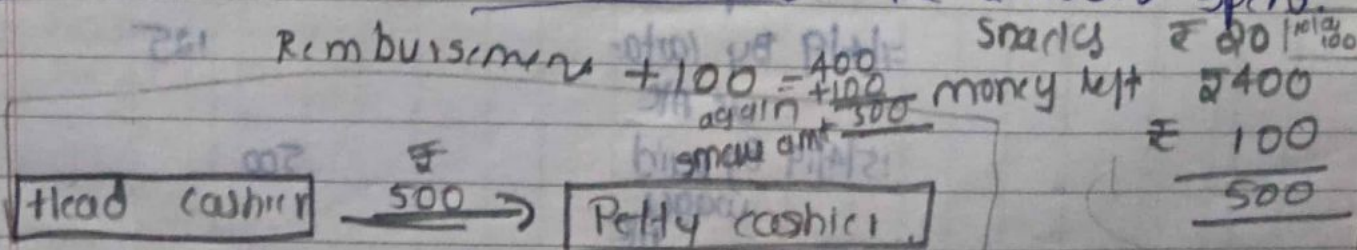
This happens because it increases the work of cashier and the cash book may become very bulky.

Hence the recording of the small expenses of the business and additional cashier is appointed. His job is to make all small payments and record them in Petty cash book.

Note:-

- ① Not an alternative to ledger account
- ② just a subsidiary book
- ③ maintain under imprest system
- ④ fixed amount of money is given to Petty cashier in the beginning.
- ⑤ Petty cashier spends during the period.
- ⑥ at the end details are submitted to the head cashier.
- ⑦ head cashier reimburses the amount spent.

maintain big amt



→ Maintaining General cash Book (all single/double entry)
→ managing expenses

→ Responsible for managing small day-to-day cash payments
Stationery, Carriage, etc.

② Repair petty cashbook

11/10/80 Received cash from chief cashier ₹ 150
 11/10/80 Paid travelling expens ₹ 8
 11/10/80 Bought postage stamps ₹ 22
 11/10/80 Purchased stationery ₹ 19
 11/10/80 Paid for office expens ₹ 18
 11/10/80 Paid for expens ₹ 6
 11/10/80 Paid telephone bill ₹ 21
 11/10/80 Paid advance to clerk ₹ 10
 11/10/80 Paid for refreshments ₹ 3
 10/11/80 Paid for printing charges ₹ 24

Payments

Particulars
 No telephone exp
 Travelling exp
 Postage stamps
 Refreshments
 Printing charges
 Stationery
 Office expens
 Advance to clerk
 Refreshments

11/10/80 To cash A/c 150
 11/10/80 By travelling exp 8
 11/10/80 By postage stamps 22
 11/10/80 By stationery 19
 11/10/80 By office expens 18
 11/10/80 By telephone bill 21
 11/10/80 By advance to clerk 10
 11/10/80 By refreshments 3

11/10/80 By cash 150
 11/10/80 By travelling exp 8
 11/10/80 By postage stamps 22
 11/10/80 By stationery 19
 11/10/80 By office expens 18
 11/10/80 By telephone bill 21
 11/10/80 By advance to clerk 10
 11/10/80 By refreshments 3

11/10/80 By cash 150
 11/10/80 By travelling exp 8
 11/10/80 By postage stamps 22
 11/10/80 By stationery 19
 11/10/80 By office expens 18
 11/10/80 By telephone bill 21
 11/10/80 By advance to clerk 10
 11/10/80 By refreshments 3

11/10/80 By cash 150
 11/10/80 By travelling exp 8
 11/10/80 By postage stamps 22
 11/10/80 By stationery 19
 11/10/80 By office expens 18
 11/10/80 By telephone bill 21
 11/10/80 By advance to clerk 10
 11/10/80 By refreshments 3

11/10/80 By cash 150
 11/10/80 By travelling exp 8
 11/10/80 By postage stamps 22
 11/10/80 By stationery 19
 11/10/80 By office expens 18
 11/10/80 By telephone bill 21
 11/10/80 By advance to clerk 10
 11/10/80 By refreshments 3

11/10/80 By cash 150
 11/10/80 By travelling exp 8
 11/10/80 By postage stamps 22
 11/10/80 By stationery 19
 11/10/80 By office expens 18
 11/10/80 By telephone bill 21
 11/10/80 By advance to clerk 10
 11/10/80 By refreshments 3

11/10/80 By cash 150
 11/10/80 By travelling exp 8
 11/10/80 By postage stamps 22
 11/10/80 By stationery 19
 11/10/80 By office expens 18
 11/10/80 By telephone bill 21
 11/10/80 By advance to clerk 10
 11/10/80 By refreshments 3

11/10/80 By cash 150
 11/10/80 By travelling exp 8
 11/10/80 By postage stamps 22
 11/10/80 By stationery 19
 11/10/80 By office expens 18
 11/10/80 By telephone bill 21
 11/10/80 By advance to clerk 10
 11/10/80 By refreshments 3

③ For the given particulars, you are required to prepare petty cashbook on imputed system

11/10/80 Received cheque from cashier ₹ 200 to bank
 11/10/80 Paid taxi charges ₹ 30 travelling expens
 11/10/80 Paid cartage ₹ 10
 11/10/80 Paid for postage & telegrams ₹ 25
 11/10/80 Purchased stationery ₹ 25
 11/10/80 Paid buscharge ₹ 10
 11/10/80 Paid tango charge ₹ 15
 11/10/80 Refreshment to customer ₹ 12
 11/10/80 Paid for stationery ₹ 18
 11/10/80 Paid for cold drinks ₹ 10
 11/10/80 Spend on telegram ₹ 12
 11/10/80 Repair for typewriter ₹ 25

Particulars
 No. of stamps
 Printing charges
 Stationery
 Travelling expens
 Repairs
 Refreshments

11/10/80 By cash 200
 11/10/80 By taxi charges 30
 11/10/80 By cartage 10
 11/10/80 By postage & telegrams 25
 11/10/80 By stationery 25
 11/10/80 By buscharge 10
 11/10/80 By tango charge 15
 11/10/80 By refreshment to customer 12
 11/10/80 By stationery 18
 11/10/80 By cold drinks 10
 11/10/80 By telegram 12
 11/10/80 By typewriter 25

11/10/80 By cash 200
 11/10/80 By taxi charges 30
 11/10/80 By cartage 10
 11/10/80 By postage & telegrams 25
 11/10/80 By stationery 25
 11/10/80 By buscharge 10
 11/10/80 By tango charge 15
 11/10/80 By refreshment to customer 12
 11/10/80 By stationery 18
 11/10/80 By cold drinks 10
 11/10/80 By telegram 12
 11/10/80 By typewriter 25

11/10/80 By cash 200
 11/10/80 By taxi charges 30
 11/10/80 By cartage 10
 11/10/80 By postage & telegrams 25
 11/10/80 By stationery 25
 11/10/80 By buscharge 10
 11/10/80 By tango charge 15
 11/10/80 By refreshment to customer 12
 11/10/80 By stationery 18
 11/10/80 By cold drinks 10
 11/10/80 By telegram 12
 11/10/80 By typewriter 25

11/10/80 By cash 200
 11/10/80 By taxi charges 30
 11/10/80 By cartage 10
 11/10/80 By postage & telegrams 25
 11/10/80 By stationery 25
 11/10/80 By buscharge 10
 11/10/80 By tango charge 15
 11/10/80 By refreshment to customer 12
 11/10/80 By stationery 18
 11/10/80 By cold drinks 10
 11/10/80 By telegram 12
 11/10/80 By typewriter 25

11/10/80 By cash 200
 11/10/80 By taxi charges 30
 11/10/80 By cartage 10
 11/10/80 By postage & telegrams 25
 11/10/80 By stationery 25
 11/10/80 By buscharge 10
 11/10/80 By tango charge 15
 11/10/80 By refreshment to customer 12
 11/10/80 By stationery 18
 11/10/80 By cold drinks 10
 11/10/80 By telegram 12
 11/10/80 By typewriter 25

11/10/80 By cash 200
 11/10/80 By taxi charges 30
 11/10/80 By cartage 10
 11/10/80 By postage & telegrams 25
 11/10/80 By stationery 25
 11/10/80 By buscharge 10
 11/10/80 By tango charge 15
 11/10/80 By refreshment to customer 12
 11/10/80 By stationery 18
 11/10/80 By cold drinks 10
 11/10/80 By telegram 12
 11/10/80 By typewriter 25

11/10/80 By cash 200
 11/10/80 By taxi charges 30
 11/10/80 By cartage 10
 11/10/80 By postage & telegrams 25
 11/10/80 By stationery 25
 11/10/80 By buscharge 10
 11/10/80 By tango charge 15
 11/10/80 By refreshment to customer 12
 11/10/80 By stationery 18
 11/10/80 By cold drinks 10
 11/10/80 By telegram 12
 11/10/80 By typewriter 25

11/10/80 By cash 200
 11/10/80 By taxi charges 30
 11/10/80 By cartage 10
 11/10/80 By postage & telegrams 25
 11/10/80 By stationery 25
 11/10/80 By buscharge 10
 11/10/80 By tango charge 15
 11/10/80 By refreshment to customer 12
 11/10/80 By stationery 18
 11/10/80 By cold drinks 10
 11/10/80 By telegram 12
 11/10/80 By typewriter 25

11/10/80 By cash 200
 11/10/80 By taxi charges 30
 11/10/80 By cartage 10
 11/10/80 By postage & telegrams 25
 11/10/80 By stationery 25
 11/10/80 By buscharge 10
 11/10/80 By tango charge 15
 11/10/80 By refreshment to customer 12
 11/10/80 By stationery 18
 11/10/80 By cold drinks 10
 11/10/80 By telegram 12
 11/10/80 By typewriter 25

11/10/80 By cash 200
 11/10/80 By taxi charges 30
 11/10/80 By cartage 10
 11/10/80 By postage & telegrams 25
 11/10/80 By stationery 25
 11/10/80 By buscharge 10
 11/10/80 By tango charge 15
 11/10/80 By refreshment to customer 12
 11/10/80 By stationery 18
 11/10/80 By cold drinks 10
 11/10/80 By telegram 12
 11/10/80 By typewriter 25

Petty Cash Book

Features of Petty Cash Book

- ① Petty cash book is comprised of 2 columns namely payment column (on right side) and receipts column (on left side)
- ② The amounts received from the main cashier are recorded on the left side of the book in the respective columns
- ③ The cash payments made for expenses are recorded on the right side of the book in the respective columns
- ④ The cash payments can not exceed the cash receipts hence there is no possibility of credit balance in the petty cash book
- ⑤ The balance in the petty cash book represents the unspent petty cash in hand.
- ⑥ Petty cashbook is maintained as per internal and external vouchers internal vouchers are prepared and get authorised by an authorised person whenever the external vouchers are not received especially in case of auto-rickshaw charges, coolie charges, postage stamps, etc
- ⑦ After a specified period, all expenses columns should be totalled to record the expenses in the ledger book. The periodic total of each expense is posted separately to the debit side of the respective expense accounts. In the ledger, such total are recorded by writing to sundries as per petty cash book in the particular column.
- ⑧ All petty cash expenses are recorded only in petty cash book. Hence the petty cash book can be a book of original entry or a book of final entry

Advantages of Petty Cash Book

- ① Saving the time of chief cashier:-
Petty cash expenses are separately recorded in the petty cashbook. Hence the chief cashier has enough time to focus on the significant transactions of the business.
- ② Saving the labour in Posting
Because of the following reasons, the cashier can save the labour at the time of posting.
(i) The accounts opened for petty expenses are limited in numbers.
(ii) The periodic total of each expense is posted to the debit of the respective ledger account.
- ③ Control over Mistake:
The mistake in the petty cash book remain under control as the petty cashbook is always examined by the chief cashier.
- ④ Control over Fraud:
The possibility of cash embezzlement are less as the petty cashier is allowed with a limited amount to spend on the petty expenses.
- ⑤ Benefits of Specialization
Because the cash transaction are classified between main cash book and petty cash book, the cashier is available with the benefits of specialization.
- ⑥ Simple Method
Recording of petty expenses in petty cash book is a simple method as the petty cashier does not require specialised

knowledge of accounting, moreover, the petty cash book is classified into particular column, on the payments of expenses, these columns are filled by the petty cashier.

⑤ Convenient Handling of Cash Books

Two different person can work on petty cashbook and main cashbook at the same time without any interference from each other as both books are separately maintained. This helps in avoiding the unnecessary work burden on the chief cashier and saves the main cash book from being bulky, cumbersome and troublesome.

Financial Statements

Financial statements

The objective is to communicate meaningful information to internal users i.e. owners, share holders and management and external users i.e. govt bank and other creditors. The information can be provided in the form of financial statements i.e. trading and profit and loss account, i.e. income statement or statement of profit and loss and, B-sheet i.e. position statement while preparing trading and profit & loss A/c & Balance sheet. One should have the knowledge of capital & revenue items. The revenue items are recorded in the trading & profit & loss A/c & capital items are recorded in the balance sheet.

Name the two financial statements

- ① Trading (gross Profit) and
- ② Balance sheet

Trading & Profit and loss A/c

It is prepared to determine the profit earned or loss incurred by the business during the accounting period. It is a summary of revenue and expenses of the business and calculate the Profit/Loss. Revenue are taken on the credit side & expenses are taken on the debit side. If income are more than expenses, the result is profit. If income are less than expenses, the result is loss.

Concept of Gross and Net Profit

The trading and profit & loss can be seen combination of two accounts. Trading Account & Profit & loss A/c.